INDEPENDENT EQUITY RESEARCH

MICROSOFT

The AI capital-return test

Can Microsoft’s AI investment generate sufficient returns to justify current capital intensity?

BASE DCF $403.26

−24.1% TO PRICE

EDEN KABANGA • 27 OCTOBER 2026

Investment conclusion

Strong franchise. Attractive AI growth opportunity. Demanding valuation.

THREE-PART THESIS

01 **Microsoft has a distribution edge**

Azure, Microsoft 365 and enterprise relationships support AI adoption and monetization.

02 **Capital intensity is the swing factor**

Demand and cloud growth do not establish full-life utilization, realized pricing or AI-specific returns.

03 **Price is ahead of the base case**

Even with substantial revenue and cash FCF growth, the modeled base value trails the market reference.

VALUE PER SHARE

$403.26

Base-case intrinsic value

$531.33 DATED PRICE

−24.1% BASE DOWNSIDE

Unrated by design; the model and scenario reconciliations are complete.

Sources: Microsoft FY2026 filings; audited DCF and approved six-page equity research report.

Where Microsoft earns its profits

FY2026 legacy reporting segments: revenue share does not equal operating-income contribution.

SEGMENT MIX · FY2026

Revenue share



Operating profit share



PRODUCTIVITY & BUSINESS PROCESSES

INTELLIGENT CLOUD

MORE PERSONAL COMPUTING

SEGMENT OPERATING MARGINS



IC: 41.5% of sales → 36.7% of EBIT

Legacy FY2026 segments; Microsoft changed its segment reporting in FY2027. Use recast periods for future comparisons.

Source: Microsoft FY2026 Form 10-K, segment revenue and operating income.

Demand is visible; returns are not

The evidence for commercial opportunity is stronger than the evidence for full-life AI capital productivity.

WHAT SUPPORTS THE CONSTRUCTIVE CASE

+41%

FY2026 Azure and other cloud services growth

$678bn

Commercial RPO; different contract populations and timing

WHAT THE DISCLOSURES CANNOT PROVE

66.1% → 58.0%

Intelligent Cloud gross margin, FY2024 to FY2026

AI-only utilization, realized compute pricing, asset-vintage returns and AI-specific CapEx are not reported.

TRANSMISSION FROM ADOPTION TO ECONOMIC VALUE



Sources: FY2026 10-K; FY2026 Q4 call; segment economics; remaining performance obligations.

Capital intensity changed the financial profile

Historical earnings improved while reinvestment took a larger share of sales.

CASH CAPITAL INTENSITY

12.0% FY2022 → **34.9%** FY2026



Cash additions to PP&E

$23.9bn → $115.9bn

CASH FCF MARGIN

32.9% FY2022 → **20.2%** FY2026



Sales grew $198.3bn → $331.8bn

Operating margin: 42.1% → 46.8%

Cash FCF = operating cash flow less cash additions to PP&E. FY2022 vs. FY2026 observations—not an annual interpolation.

Source: Microsoft FY2022 and FY2026 Form 10-Ks; historical cash FCF and common-size analysis.

Near-term Street sales are not the dispute

The differentiation is the long-run cash returns needed to support the share price.

FY2027–FY2028 REVENUE EXPECTATIONS

Fiscal year	Published Street	Model base	Difference
FY2027	$391.44bn	$390.03bn	−0.4%
FY2028	$468.68bn	$460.29bn	−1.8%

Revenue expectations are relatively close; EPS definitions were not directly comparable.

SINGLE-VARIABLE REVERSE DCF

≈68%

FY2036 operating margin hurdle

46.8% Model fade margin

Not a published analyst forecast.

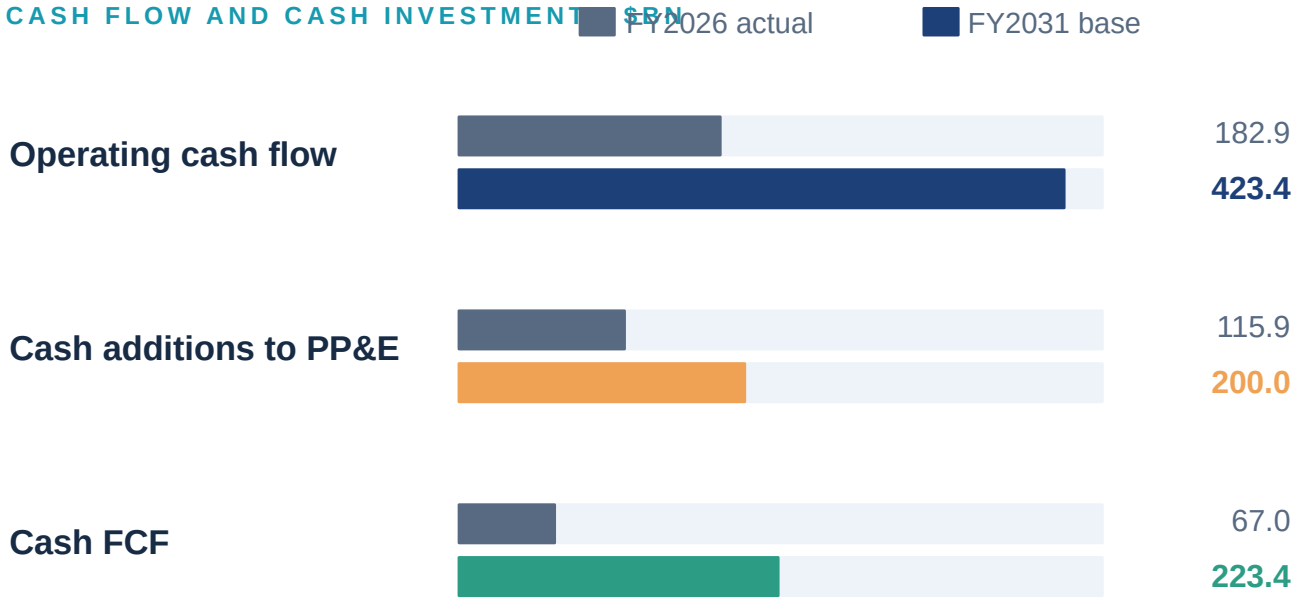
Reverse DCF holds other model assumptions fixed. Street revenues: pre-FY27 Q1 published consensus snapshot.

Sources: dated Street FY2027–FY2028 revenue consensus; audited reverse DCF and scenario model.

The base case requires a cash-flow inflection

Forecast growth is substantial; investment requirements remain elevated in absolute dollars.

CASH FLOW AND CASH INVESTMENT · $BN



BASE ECONOMICS · FY2031

$702bn

Revenue; 48.1% operating margin

28.5%

Cash CapEx / sales

$181.4bn

Economic UFCF (after leased asset additions)

Cash FCF = CFO − cash PP&E. Economic unlevered FCF has a different operating and lease-inclusive investment basis.

Sources: audited FY2027–FY2031 Base model; FY2026 Microsoft cash-flow statement.

Three scenarios, one economic question

How much revenue becomes after-tax operating profit and cash flow after reinvestment?

SCENARIO	FY31 REVENUE	EBIT MARGIN	NOPAT	ECON. UFCF	DCF / SHARE
BEAR	$613.1bn	44.5%	$218.3bn	$112.8bn	$300.22 −43.5%
BASE	$702.0bn	48.1%	$270.1bn	$181.4bn	$403.26 −24.1%
BULL	$790.3bn	49.6%	$313.6bn	$235.4bn	$500.32 −5.8%

Share-price reference: $531.33 (27 Oct 2026). Scenarios jointly vary demand, margin, investment and terminal returns.

Source: audited Bear/Base/Bull three-statement and DCF scenario recalculations.

DCF value depends heavily on the terminal economics

Lease-inclusive reinvestment is modeled; sustaining long-run returns is the main economic uncertainty.

BASE DCF · EQUITY BRIDGE

Enterprise value	$3,008.7bn
Net equity bridge	−$14.3bn
Equity value	$2,994.5bn
Diluted shares	7,425.6m
Intrinsic value / share	**$403.26**

TERMINAL EXPOSURE

69.7%

of enterprise value comes from terminal value



9.05% WACC **2.5% g** **15% inc. ROIC**

15% is an analyst assumption—not disclosed AI returns.

Explicit forecast FY2027–2031; normalization/fade FY2032–2036. Opening lease liability accounted for once.

Source: independently reconciled economic-UFCF DCF, dated WACC and lease schedules.

A disciplined valuation cross-check

The economic-investment DCF is primary; peer P/E is informative but not equivalent.

DCF SENSITIVITY · VALUE / SHARE

TERMINAL INCREMENTAL ROIC

WACC	12%	15%	18%
8.55%	$427.41	$443.37	$454.01
9.05%	$389.15	**$403.26**	$412.67
9.55%	$356.50	$369.06	$377.43

Rows: WACC • Columns: terminal incremental ROIC

METHOD COMPARISON

$403.26

Primary DCF · cash + leased reinvestment

$506.61

Historical peer P/E (28.13×) · indicative

Excluded as equivalent targets:

EV/EBITDA (D&A mismatch); EV/FCF (after-interest denominator).

Peer P/E uses historical fiscal earnings and dated market caps; it is not a clean LTM or AI-specific comparison.

Source: audited DCF sensitivities; normalized peer P/E method audit.

Catalysts and evidence that would change the view

Distinguish discrete earnings events from multi-quarter evidence of lasting capital productivity.

28 OCT 2026

FY27 Q1 RESULTS

First post-reference reporting

Azure growth; new segment revenue / profitability; guidance and investment updates.

Revenue + margin assumptions

FY27 Q2–Q3

SUBSEQUENT REPORTS

Demand after capacity expansion

Recast cloud margins; cash generation; cash + lease-financed investment relative to earnings.

Margins + reinvestment

AFTER JUN 2027

FY27 ANNUAL FILING

Replacement and capital productivity

PP&E additions, useful lives, depreciation, leases and capital commitments.

Asset lives + terminal returns

FY27 results and reporting reorganization are subsequent disclosures; they were not retroactively added to the 27 Oct DCF.

Sources: Microsoft public earnings calendar/reorganization disclosures; valuation monitoring framework.

What would falsify a valuation-cautious stance?

The decision turns on sustained capital productivity—not an AI adoption headline.

THREE INVESTOR TESTS

01 Monetization after supply arrives

SUPPORTS Sustained Azure/cloud expansion with resilient, comparable profitability.

CHALLENGES Weakening margins despite capacity growth.

02 Cash conversion after full reinvestment

SUPPORTS Operating cash flow rises relative to cash plus lease-financed asset investment.

CHALLENGES Cash FCF improves only because cash CapEx shifts into leases or is deferred.

03 Incremental capital efficiency

SUPPORTS ΔNOPAT improves relative to consistently defined Δinvested capital across matched periods.

CHALLENGES More capital is deployed without proportionate incremental after-tax profit.

BOTTOM LINE

Commercialization is plausible.

Durable AI-specific returns are not yet demonstrated.

UNRATED · VALUATION CAUTIOUS

Incremental return ≈ ΔNOPAT / Δ invested capital (matched periods); not Microsoft-disclosed AI-only ROIC.

Source: approved investment debate, financial-model definitions, and monitoring analysis.

Methodology, definitions and sources

Independent analysis; all model prices refer to October 27, 2026.

MODEL CONVENTIONS

Cash FCF	Operating cash flow − cash additions to PP&E.
Economic UFCF	Unlevered cash flow after economic investment, including modeled lease-financed assets.
ROIC	NOPAT / average consolidated invested capital.
Incremental return	ΔNOPAT / Δinvested capital; matched periods and consistent definitions.
Reverse DCF	One-variable price hurdle; not published Street consensus.

EVIDENCE AND LIMITATIONS

- Microsoft FY2026 Form 10-K; FY2026 Q4 earnings materials.
- Published FY2027/FY2028 revenue estimates before FY27 Q1 reporting.
- Independent three-statement / DCF model; dated WACC and peer P/E sources.
- FY2027 segment reorganization means comparable recast segment data are needed.

No AI-only utilization, investment base or ROIC is disclosed.

Independent educational research. Estimates are uncertain. Not personalized investment advice or a recommendation to trade.

Source register: full research report, supporting audited workbook and source documentation; all values rounded.